

GRUPO BIMBO

Conference Call
3Q12

MEPPs Recent Developments



GQ

1. What are we doing?
2. What are the economic and accounting impacts of these withdrawals?
3. Why are we doing this?

Annexes

- MEPPs- Additional Information



What are we doing?



LM

- During the third quarter, BBU took a proactive stance to address issues with two MEPPs ("Multiemployer Pension Plans") in which it participates – **The New England Teamsters and the Bakers Local 433 Funds** ("The Plans")

- With the New England Plan, BBU is taking advantage of a **hybrid withdrawal** solution, which will significantly increase the security of our associates' retirement benefits while reducing our contribution volatility

- With the Bakers Local 433 Plan, BBU has triggered its withdrawal liability as has the other major employer in the Plan, avoiding future risk and providing our associates with a non-MEPP Company-sponsored retirement vehicle

- These actions, undertaken and embraced by BBU, mitigate future risks associated with the financial health of the funds, yielding more certainty to all stakeholder´s interests - **unions, associates, the Company and its shareholders**

What are the accounting & economic impacts of these withdrawals?



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Accounting Impact	
Withdrawal Liabilities	$110.9mm
Existing Reserve[1]	$31.2mm
One-time charge to P&L	**$79.7mm**

Economic Impact[2]	
Present Value	**$68.2mm**

Present Value Contributions under Current Situation (25Y)	$208.1mm
Present Value Contributions under New Solution (25Y)	$139.9 mm

PV Economic Benefit $68.2

1) Reserve made for legacy Sara lee MEPPs
2) Before Taxes and discounted at WACC rate

Why are we doing this?



LM

- All types of Defined Pension Plans, both single and multiemployer, face structural problems leading to serious funding status concerns

  a. Financial health of pension plans has been stressed by poor investment returns and low interest rates

  b. In the case of MEPPS, the situation has been exacerbated by a reduction in the contribution base and the insolvency of a number of employers, in many cases, retirees greatly outnumber active participants

- In the recent past, new creative solutions have been adopted by a number of Plans in various industries to lead deteriorating Plans onto sound financial footing (i.e. Kroger)

- BBU is committed to being part of the problem-solving process and resolved to take the responsible steps to secure retirement benefits for its associates

- These are, and will be, solutions which better protect associates benefits and provide the company a more stable level of future contributions





Annex

MEPPs Additional Information



- Multiemployer Pension Plans (**"MEPPs"**) were created by the **Labor Management Relations Act of 1947**, known as Taft-Hartley Act.
- A **MEPP** is a fund into which **several unrelated employers**, in the same or similar industry, pay to fund retirement benefits for the unionized workers in the plan
  - Originally intended to ease employee movements from employer to employer in the same industry without losing pension rights
  - These plans are collectively bargained and maintained by more than one employer contributing on a permanent basis to the fund
  - Managed under the control of labor-management trustees
- In the United States there are **1,510** active multiemployer defined benefit pension plans covering approximately **10.1** million participants[1]

[1] According to the Pension Benefit Guaranty Corporation (2012)

Thank you



